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TECH

Tesla Continues to Burn Through Cash

CEO Elon Musk reiterates that Tesla is still on pace to make about 5,000 Model 3s in a single week

By Tim Higgins

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Tesla has struggled to ramp up production of the Model 3 sedan. JEFF CHIU/ASSOCIATED PRESS

TSLA -1.71% ▼ Tesla Inc. TSLA -1.71% ▼ burned through cash at a greater rate than analysts expected during the first quarter, intensifying pressure on the Silicon Valley auto maker to raise more capital if it continues to struggle ramping up production of the Model 3 sedan.

The company's free cash flow widened to about a negative \$1 billion after burning \$277 million in the final three months of last year, a figure that was unusually low thanks, in part, to delays in spending and customer deposits.

Despite the increased spending, Chief Executive Elon Musk indicated the company won't need to raise more money because it is still on pace to make about 5,000 Model 3s in a single week by around the end of the second quarter. The twice postponed goal is critical, analysts say, for Tesla to generate cash and reach profitability.

The increased rate of production, coupled with plans to reduce capital expenditures, should help Tesla become cash-flow positive in the second half of the year and profitable in the third and fourth quarters, the company said.

That would be a big reversal from the first quarter, when Tesla posted a loss attributable to common shareholders of \$710 million, its fifth consecutive quarter of record losses. Tesla's per-share loss of \$3.35 was narrower than analysts' average expectations, according to FactSet, but those projections were lowered significantly in recent months.

During a combative conference call with analysts on Wednesday, Mr. Musk answered curtly when Adam Jonas of Morgan Stanley asked whether it would be prudent for Tesla to raise more capital while it can even if it doesn't need it. "No," Mr. Musk replied. "I specifically don't want to."

Later on the call, Mr. Musk cut off two analysts who were asking about Tesla's business—specifically capital expenditures and Model 3 reservations—calling the questions "so dry. They're killing me."

As Mr. Musk deflected some questions, the stock started sliding in after-hours trading, falling as much as 6% in about a 20-minute period, before settling down 4.6% at 8 p.m. EDT. Tesla's stock had fallen more than 3% in 2018.

Production of the Model 3 sedan, which began in July, has bedeviled Mr. Musk at the company's Fremont, Calif., factory, where in recent weeks he has conceded to relying too much on automation to make the vehicle that was supposed to start at \$35,000 but instead goes for \$49,000 in the U.S. The lower-priced version, with a shorter battery range, isn't expected to reach the market until later this year.

The Model 3 is part of Mr. Musk's vision of bringing electric cars to the masses and turning Tesla into something more than a luxury car company selling Model S sedans and Model X sport-utility vehicles that average for \$100,000.

His gamble of remaking the automotive landscape, however, is facing a critical make-or-break period as the company struggles with the Model 3. The company has little wiggle room and needs to begin generating cash or else raise more money.

Last month, Tesla said it won't need to raise any debt or equity this year, apart from standard credit lines.

Tesla on Wednesday said it expects to cut back on spending and generate positive cash flow in the third and fourth quarters, "including the inflow of cash that we receive in the normal course of our business from financing activities on leased vehicle and solar products."

Analysts surveyed by FactSet on average predicted a negative free cash flow of \$889 million during the first quarter. The company averaged a negative free cash burn of \$900 million a quarter last year. These totals don't include payments for solar energy systems.

Tesla finished the first quarter with \$2.7 billion in cash on hand, compared with \$3.4 billion at the end of last year. Customer deposits, for vehicles such as the Model 3 and

Roadster, rose about 15% to \$985 million from the end of last year.

The cash levels put Tesla “in good shape providing they do start generating cash later this year,” said David Whiston, an analyst for Morningstar Research Services LLC.

Tesla said it was cutting back on capital expenditures this year to “slightly” less than \$3 billion from \$3.4 billion last year. “We have significantly cut back our capex projections by focusing on the critical near-term needs that benefit us primarily in the next couple of years,” Mr. Musk wrote in a letter to shareholders on Wednesday.

Tesla’s total vehicle deliveries, announced last month, rose 20% to 29,997, including 8,812 Model 3 vehicles. Deliveries of the higher-priced Model S sedan and Model X sport-utility vehicle, however, fell about 13% combined compared with a year ago. Revenue rose about 26% to \$3.41 billion, beating analyst expectations of \$3.28 billion.

Tesla made 9,766 Model 3s during the first quarter and fell short of its goal of making 2,500 in a single week. In April, it said that it reached a rate of 2,000 in a seven-day period that included two days of the second quarter.

Mr. Musk had once suggested the company could make as many as 200,000 Model 3s in the second half of last year.

While he had warned in July that the Model 3 ramp-up would be hard, Mr. Musk has said it has been worse than expected. He has retaken control of production and said earlier this year that he was sleeping sometimes at the factory.

He has directed the factory to work 24 hours, seven days a week and aims to make as many 4,000 Model 3s in a single week this month followed by some additional upgrades to the factory so they can make as many 6,000 a week by the end of June.

He set the goal of making 5,000 a week by the end of the second quarter, a milestone that has twice been delayed. Mr. Musk recently told “CBS This Morning” that he

finally sees a way through the challenges.

Write to Tim Higgins at Tim.Higgins@WSJ.com

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Tim Higgins is a business columnist for The Wall Street Journal, frequent contributor to CNBC, and author of books about Apple ("iWar") and Tesla ("Power Play"). He also co-hosts "Bold Names," the Journal's weekly interview podcast with top business leaders. His weekly column focuses on influential companies and their leaders, such as...

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